

1.4 Sensex and Nifty

Two major stock indices in India are SENSEX and NIFTY. Stock indices are a group of stocks that represent the entire stock market. Its a basket of 30 (50 for NIFTY) stocks that includes the largest listed companies of India and represent the overall health of stock markets.

In the stock index, multiple stocks are included and each of them is given a weight. For e.g. Reliance is 12% of Sensex, HDFC Bank is 9% and soon. Now the overall movement in each stock multiplied by their weight determines the overall direction of the stock index and therefore the market. No one stock can influence the nifty or sensex. Its overall market trend of companies that moves the Nifty or Sensex.



That’s where the term “Index” comes into play.

The stock market index acts like a barometer that shows the overall conditions of the market. A stock index is a metric for determining how the market is moving. It keeps track of pricing changes and market performance.

Company Name	% Chg	Today's Trend	% Chg	Past 30 Days' Trend	365 Days' % Chg	Past 365 Days' Trend
Asian Paints	0.78		-12.16		-8.19	
HUL	0.14		0.72		-7.59	
Axis Bank	-0.05		0.16		-11.13	